

Appendix A

Liquidity Incentive Program (“Program”) Terms and Conditions (**Tracked**)

Program Purpose

The purpose of this Program is to increase liquidity on the central limit order book and thereby enhance pricing efficiency. More liquidity on the central limit order book and more efficient pricing benefit all participants in the marketplace.

Program Scope and Duration

The Program applies to all Kalshi markets.

The Program will be effective upon Exchange notice, and continue until the earlier of ~~September 1, 2026~~, **January 1, 2027**, or the date that Kalshi amends or terminates the Program. Kalshi may announce separate effective dates for each component of the Program, and may in its discretion terminate either component separately or together.

Eligible Participants

“Eligible Participants” are all Kalshi members, except the following: ~~(i) affiliates of Kalshi; (ii) members who have executed a Market Maker Agreement with Kalshi; (iii)~~ Introducing Brokers, Futures Commission Merchants, and customers thereof when transacting via the IB or FCM.

Program Terms

During the Program, Kalshi will identify on market pages whether or not the market is eligible for a liquidity incentive. If eligible, the market page will also identify a liquidity incentive schedule (“Liquidity Incentive Schedule”), comprised of a sequence of one or more time periods (“Time Period”), each with a corresponding target size (“Target Size”), discount factor (“Discount Factor”), and reward (“Time Period Reward”). For clarity, a Time Period may be contained in a single trading session or encompass parts of multiple trading sessions. Time Periods may overlap. Time Periods must start and end at a non-fractional second.

Eligible Participants can receive incentives for improving liquidity via resting orders.

Maximum Values of Variables for Liquidity Incentive Schedule:

1. “Time Period” shall be no greater than 31 days;
2. “Target Size” will be greater than 100 contracts and less than 20,000 contracts;
3. “Discount Factor” will be no greater than 1.00; and
4. “Time Period Reward” shall be no less than ~~\$10~~ **\$1** and no greater than \$1,000 per

calendar day encompassed in the Time Period. ~~For the avoidance of doubt, this minimum and maximum shall be applied on a per-market basis.~~

The calculation for such incentives will be as follows:

During a Time Period, ~~if the market is open for trading,~~ a snapshot of the book ("Snapshot") will be taken once for each second, with the exact time of the snapshot drawn from a random uniform distribution on a periodic basis. For each Snapshot, the exchange will determine a score for each user that had resting orders that improved liquidity in the market ("Snapshot Liquidity Provider Score"). Snapshots will be excluded ~~if a market is not open for trading or~~ if there is not two-sided liquidity (i.e., resting orders sufficient to meet the Target Size on each side of the market) at the time of the Snapshot.

Determining "Reference Yes Price," "Qualifying Yes Bids," "Qualifying Yes Total Size," and their "No" Counterparts:

Kalshi will first determine qualifying yes bids ("Qualifying Yes Bids"), a reference yes price ("Reference Yes Price"), and a qualifying yes total size ("Qualifying Yes Total Size"). Kalshi will do the same for the no side. For purposes of this analysis and for ease of discussion, a yes ask is counted as a bid for no.

First, Kalshi will initialize the Qualifying Yes Bids to the empty set. ~~If the highest yes bid price exists and is less than the highest possible price, it is assigned to the Reference Yes Price.~~ The exchange will initialize the Qualifying Yes Total Size to zero and set the current bid price to the ~~Reference Yes Price~~ highest yes bid price. Kalshi will add the size available at the current bid price to the Qualifying Yes Total Size, and add all bids at the current bid price to the Qualifying Yes Bids. ~~If the Reference Yes Price has not yet been set, and the Qualifying Yes Total Size is greater than or equal to one fifth of the target size, then the Reference Yes Price is set to the current bid price.~~ If the Qualifying Yes Total Size is greater than or equal to the target size, the procedure is stopped here. Otherwise, Kalshi will find the next highest yes bid price and repeat without reinitializing the Qualifying Yes Total Size, Qualifying Yes Bids, or Reference Yes Price. If no more bids exist, Kalshi will clear the Qualifying Yes Bids, as there were not enough bids to reach the Target Size. Note that if the highest yes bid price does not exist ~~or is not less than the highest possible price,~~ there are also no Qualifying Yes Bids.

Kalshi will repeat the process for the no side to find the Qualifying No Bids, Reference No Price, and Qualifying No Total Size.

Determining "Snapshot Liquidity Provider Score":

If there is at least one Qualifying Yes Bid, each Qualifying Yes Bid is assigned a score equal to the Discount Factor taken to the Nth power multiplied by its size, where N is the number of ticks between the Reference Yes Price and the price of the Qualifying Yes Bid. ~~If the price of the Qualifying Yes Bid is greater than the Reference Yes Price, N is set to zero.~~ The score divided by the sum of the scores creates a normalized score ("Normalized Qualifying Yes Score") for the bid.

Kalshi will repeat the process for the no side to find a set of Normalized Qualifying No Scores.

$$\begin{aligned}
 \text{Score}(\text{bid}) &= \text{Discount Factor}^{(\text{Reference Price} - \text{Price}(\text{bid}))} \times \text{Size}(\text{bid}) \\
 \text{Normalized Qualifying Score}(\text{bid}) &= \text{Score}(\text{bid}) \div \sum_{b \in \text{bids}} \text{Score}(b)
 \end{aligned}$$

$$\begin{aligned}
 \text{Score}(\text{bid}) &= \text{Discount Factor}^{(\text{Max}(\text{Reference Price} - \text{Price}(\text{bid}), 0))} \times \text{Size}(\text{bid}) \\
 \text{Normalized Qualifying Score}(\text{bid}) &= \text{Score}(\text{bid}) \div \sum_{b \in \text{bids}} \text{Score}(b)
 \end{aligned}$$

The sum of all Normalized Qualifying Yes Scores and Normalized Qualifying No Scores corresponding to bids submitted by a single user is that user's Snapshot Liquidity Provider Score.

$$\begin{aligned}
 \text{Snapshot Liquidity Provider Score}(\text{user}) &= \\
 &\sum_{\text{yes bid} \in \text{yes bids}(\text{user})} \text{Normalized Qualifying Yes Score}(\text{yes bid}) + \\
 &\sum_{\text{no bid} \in \text{no bids}(\text{user})} \text{Normalized Qualifying No Score}(\text{no bid})
 \end{aligned}$$

Converting Snapshot Liquidity Provider Scores into Time Period Liquidity Provider Scores:

After the Time Period has elapsed, the Snapshot Liquidity Provider Scores are totaled for each user and divided by the sum of all Snapshot Liquidity Provider Scores to create a final liquidity provider score for each user for the time period ("Time Period Liquidity Provider Score").

$$\begin{aligned}
 \text{Time Period Liquidity Provider Score}(\text{user}) &= \\
 &\sum_{\text{snapshot} \in \text{Snapshots}} \text{Snapshot Liquidity Provider Score}(\text{user}) \div \\
 &\sum_{\text{snapshot} \in \text{Snapshots}} \sum_{u \in \text{Users}} \text{Snapshot Liquidity Provider Score}(u)
 \end{aligned}$$

Determining Payments:

Each Time Period Liquidity Provider Score is multiplied by the Time Period Reward and the

ratio of non-excluded snapshots to total snapshots, and if the result is greater than or equal to \$1.00, the result is paid out to the corresponding user, rounded down to the nearest cent.

$$\text{Payout}(\text{user}) \approx \frac{\text{Time Period Liquidity Provider Score}(\text{user}) * \text{Time Period Reward}}{\text{Number of nonexcluded Snapshots} / \text{Total Number of Snapshots}}$$

Note: All trading is subject to the rules in Kalshi's Rulebook, among other relevant Federal laws and regulations.

Monitoring and Termination of Status

Kalshi shall monitor trading activity and participants' performance and shall retain the right to revoke participant status if Kalshi's Chief Regulatory Officer concludes from review that a participant's participation in the program is abusive or in any way inconsistent with the purpose of the Program.

Kalshi may end the Program at any time.

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Eligible Participants can receive incentives for improving liquidity via resting orders.

Maximum Values of Variables for Liquidity Incentive Schedule:

1. “Time Period” shall be no greater than 31 days;
2. “Target Size” will be greater than 100 contracts and less than 20,000 contracts;
3. “Discount Factor” will be no greater than 1.00; and
4. “Time Period Reward” shall be no less than \$1 and no greater than \$1,000 per calendar day encompassed in the Time Period. For the avoidance of doubt, this minimum and maximum shall be applied on a per-market basis.

The calculation for such incentives will be as follows:

During a Time Period, a snapshot of the book ("Snapshot") will be taken once for each second, with the exact time of the snapshot drawn from a random uniform distribution on a periodic basis. For each Snapshot, the exchange will determine a score for each user that had resting orders that improved liquidity in the market ("Snapshot Liquidity Provider Score"). Snapshots will be excluded if a market is not open for trading or if there is not two-sided liquidity (i.e., resting orders sufficient to meet the Target Size on each side of the market) at the time of the Snapshot.

Determining "Reference Yes Price," "Qualifying Yes Bids," "Qualifying Yes Total Size," and their "No" Counterparts:

Kalshi will first determine qualifying yes bids ("Qualifying Yes Bids"), a reference yes price ("Reference Yes Price"), and a qualifying yes total size ("Qualifying Yes Total Size"). Kalshi will do the same for the no side. For purposes of this analysis and for ease of discussion, a yes ask is counted as a bid for no.

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Kalshi will repeat the process for the no side to find the Qualifying No Bids, Reference No Price, and Qualifying No Total Size.

Determining "Snapshot Liquidity Provider Score":

If there is at least one Qualifying Yes Bid, each Qualifying Yes Bid is assigned a score equal to the Discount Factor taken to the Nth power multiplied by its size, where N is the number of ticks between the Reference Yes Price and the price of the Qualifying Yes Bid. If the price of the Qualifying Yes Bid is greater than the Reference Yes Price, N is set to zero. The score divided by the sum of the scores creates a normalized score ("Normalized Qualifying Yes Score") for the bid.

Kalshi will repeat the process for the no side to find a set of Normalized Qualifying No Scores.

$$Score(bid) = Discount Factor^{(Max(Reference Price - Price(bid), 0))} \times Size(bid)$$

$$\text{Normalized Qualifying Score}(\text{bid}) = \text{Score}(\text{bid}) \div \sum_{b \in \text{bids}} \text{Score}(b)$$

The sum of all Normalized Qualifying Yes Scores and Normalized Qualifying No Scores corresponding to bids submitted by a single user is that user's Snapshot Liquidity Provider Score.

$$\text{Snapshot Liquidity Provider Score}(\text{user}) =$$

$$\sum_{\text{yes bid} \in \text{yes bids}(\text{user})} \text{Normalized Qualifying Yes Score}(\text{yes bid}) +$$

$$\sum_{\text{no bid} \in \text{no bids}(\text{user})} \text{Normalized Qualifying No Score}(\text{no bid})$$

Converting Snapshot Liquidity Provider Scores into Time Period Liquidity Provider Scores:

After the Time Period has elapsed, the Snapshot Liquidity Provider Scores are totaled for each user and divided by the sum of all Snapshot Liquidity Provider Scores to create a final liquidity provider score for each user for the time period ("Time Period Liquidity Provider Score").

$$\text{Time Period Liquidity Provider Score}(\text{user}) =$$

$$\sum_{\text{snapshot} \in \text{Snapshots}} \text{Snapshot Liquidity Provider Score}(\text{user}) \div$$

$$\sum_{\text{snapshot} \in \text{Snapshots}} \sum_{u \in \text{Users}} \text{Snapshot Liquidity Provider Score}(u)$$

Determining Payments:

Each Time Period Liquidity Provider Score is multiplied by the Time Period Reward and the ratio of non-excluded snapshots to total snapshots, and if the result is greater than or equal to \$1.00, the result is paid out to the corresponding user, rounded down to the nearest cent.

$$\text{Payout}(\text{user}) \approx$$

$$\text{Time Period Liquidity Provider Score}(\text{user}) * \text{Time Period Reward} \\ * \text{Number of nonexcluded Snapshots} / \text{Total Number of Snapshots}$$

Note: All trading is subject to the rules in Kalshi's Rulebook, among other relevant Federal laws and regulations.

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